PORTLAND PUBLIC SCHOOLS
Board of Education
Tuesday, April 15, 2025

Audit Committee Meeting

Informal Meeting Minutes

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Pursuant to notice made by posting to the Board's public notices webpage and emailed to persons on the mailing list, a Audit Committee Meeting of the Portland Public Schools Board of Education was held at Dr. Matthew Prophet Education Center - Board Auditorium, 501 N. Dixon St, Portland, OR 97227 and streamed live at: https://www.youtube.com/@ppsboardofeducation/live

Attendance

Present:

Directors: Julia Brim-Edwards, Patte Sullivan (Committee Chair); Edward Wang

Community Committee Members: Caroline Zavitkovski and Jennifer Samuels
Staff: J Cooper – Account Analyst, Student Body Funds; Janise Hansen – Senior Internal Auditor; Michelle Morrison – Chief Financial Officer

Call to Order and Introductions

Called to order by Committee Chair Patte Sullivan at 5:03 pm. Attendees introduced themselves.

Follow up on the status of the implementation of recommendations included in the Student Body Funds Audit

Time: 5:05 pm

Staff Janise Hansen and J Copper

Staff provided an update on the status of Student Body Funds Audit implementation, noting a spot check of completed items was conducted. They highlighted that staff agreed with one audit recommendation but has opted not to implement it due to staffing limitations. The use of a risk acceptance letter was proposed to close the recommendation. There was discussion regarding whether to use a risk acceptance letter. Discussion included questions about the purpose and effectiveness of a letter and whether there would be future review of the item if a letter was submitted. There was discussion regarding mitigating the risk of the recommendation not being implemented. The committee decided not to use a risk acceptance letter, instead a future date will be set to revisit the status of implementation.

Status update related to the Request for Proposal (RFP) process for the external Annual Comprehensive Financial Review (ACFR) auditors' contract

Time: 5:27 pm

Staff: Janise Hansen and Michelle Morrison

Director Sullivan reviewed the acronyms used in the report, followed by staff summarizing the Request for Proposals (RFP) process. It was noted that only one proposal was received, that it met all requirements and was accepted, resulting in a contract. Director Sullivan also outlined the audit committee's role in the process and noted that the contract had been approved at the previous Regular Board meeting.

Discuss Office of Internal Performance Audit (OIPA) budget request for the 2025-2026 school year and related benchmarking data

Time: 5:31 pm

Staff: Janise Hansen

Staff presented the Office of Internal Performance Audit's budget request for the 2025–2026 school year, noting an increase primarily due to rising payroll and fringe costs, along with required continuing education for auditors. Benchmarking data was shared, comparing the department to similar teams in other districts. Staff explained the use of Yellow Book standards for audits, citing its focus on public interest. Committee members asked clarifying questions. The committee approved the request to submit the budget request, emphasizing that they were approving the request to submit the budget request, not of the budget itself.

Actions Taken:

The Committee approved the request to submit the Office of Internal Performance Audit (OIPA) budget request for the 2025-2026 school year.

Status update on the Audit Committee's work plan

Time: 5:46 pm

Staff: Janise Hansen

Staff provided an update on the Audit Committee's work plan, noting that two items are being carried over and should be considered when identifying future audit topics. The bond audit is expected to occur in June, and staff are coordinating with the board on audit topic discussions. There was also discussion about tracking the bond auditor's report to the board, with staff working on scheduling a presentation date.

Discussion of the performance evaluation for the District's Internal Auditor

Time: 5:58 pm

Staff: Janise Hansen

The committee noted that to reduce conflicts of interest, the board is responsible for evaluating the senior performance auditor. The committee chair will send members a list of evaluation criteria, potentially including the job description, and members will respond with their feedback.

Planning for Future Audit Topics

Time: 6:00 pm

Janise Hansen

Staff asked committee members to identify and submit three key risks they believe should inform future audit topics. Once risks are identified, auditors will assess internal controls before determining next audit areas. The committee discussed current audit capacity, the value of narrower audit scopes, and specific concerns such as the impact of reduced federal funding and oversight of the Health and Welfare Trust. Staff confirmed the Trust undergoes a financial audit, but performance audit status is unclear. Further discussion is expected at the next meeting.

Public Comment

None

Adjourn

Committee Chair Patte Sullivan adjourned the meeting at 6:15 pm

Submitted by:

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Portland Public Schools